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IT Hardware | North America

HDDs – The Next Leg Higher

WHAT'S CHANGED

Seagate Technology (STX.O)	From	To
Price Target	\$767.00	\$1,035.00
Western Digital (WDC.O)		
Price Target	\$488.00	\$650.00

Our Asia checks from the last 3 weeks make clear the HDD cycle is elongating – with greater shortages now expected through at least CY28 – while also illustrating that HDD pricing is clearly, and meaningfully, strengthening. Raising ests/PTs meaningfully. STX PT to \$1,035; WDC to \$650.

Key Takeaways

- Our checks from Asia over the last 3 weeks highlight strengthening (and broadening) HDD demand and the potential for material pricing upside.
- We believe HDD demand is growing 40-50% annually while supply (EB) growth is closer to 30-35%. We are hearing of shortages through at least CY28.
- Current nearline price/TB is <\$15. Our Taiwan checks indicate HDD vendors are targeting \$25-30 Price/TB over the next 2-3 years.
- Despite our base case forecasts being far more conservative than our checks (i.e., <\$20/TB pricing) our FY28 EPS ests are now ~70% above Street for STX and WDC.
- STX still 'Top Pick' given greater relative margin expansion oppt'y in next 3-6mo, but pounding the table on both our STX and WDC Overweights.

The drivers of HDD demand are broadening, visibility is elongating, pricing is strengthening, and our new bull cases are coming closer into play – STX and WDC remain our most-favored Overweights. We have learned 2 important pieces of information while spending time in Asia over the last 3 weeks (2 in Taiwan, 1 with WDC mgmt) that build conviction in our bullish HDD industry call – (1) HDD demand is strengthening due to core cloud services outperformance + growing inferencing/agents demand, resulting in even greater HDD supply shortages than we had expected through at least CY28; and (2) stronger demand, higher capacity drive introductions, and parabolic NAND price hikes are leaving HDD vendors with greater conviction to meaningfully increase prices over the next 2-3 years – though in a more controlled/predictable way than memory peers. When combined, we believe that the market continues to underestimate the longevity of this HDD cycle, as well as the potential earnings power of both STX and WDC. **In fact, not only are our base case FY28 EPS estimates now 70% above consensus – if we were to take the most bullish of our pricing checks as truth, both STX and WDC could 10x EPS between CY25 and CY28.** Either way, we believe HDD EPS are clearly biased upwards and that valuation multiples remain undemanding at 11-18x our base/bull

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IT HARDWARE

North America

Industry View

Cautious

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case CY27 EPS, leaving HDDs as our still-most-preferred area of AI exposure within our IT Hardware universe, with STX remaining our 'Top Pick'.

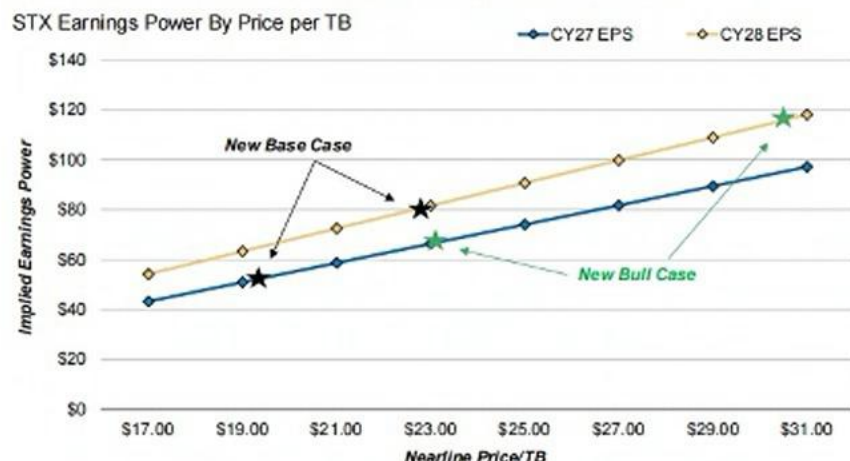
What we've learned about HDDs over the last 3 weeks during our Taiwan AI Summit, COMPUTEX, and WDC Asia Roadshow. A few very important, new datapoints:

- **Demand is strengthening.** We are now hearing that nearline HDD supply will be 300EB's short of demand in CY26 (10-15% shortage), 400EB's short of demand in CY27, and 400EB's short of demand in CY28. Why? Core cloud services growth is outperforming and AI inferencing/agents are driving upside to general-purpose server shipments and HDD demand. For reference, we are hearing hyperscalers are deploying HDDs at close to a 100% rate vs. ~70% historically, suggesting limited inventory build at CSPs. Further, HDD inventory at ODMs is only 1-2 weeks currently. Overall, we believe HDD demand is growing closer to 40-50% annually, while supply growth is closer to 30-35%.
- **HDD pricing is strongly biased upwards.** Today, STX's and WDC's blended nearline price per TB is \$14.30-14.90. In April, we learned HDD vendors could capture \$20/TB for nearline capacity in CY27/CY28. During our time in Taiwan this month, we learned that HDD vendors are targeting up to \$25-30/TB for blended nearline pricing in CY27/CY28 (targeting, not already negotiated... we want to be clear). Furthermore, current "spot" HDD prices (i.e., what is charged for customers not on LTAs) are ~30% higher than previously captured, with some distributors selling HDDs for up to \$30-35/TB today. It's our understanding that pricing changes for hyperscalers are still communicated well in advance, and typically captured through prescriptive Q/Q pricing escalators within contracts.
- **HDD vendors are limiting their use of 12+ month LTAs to capture more favorable commercial terms.** While hyperscalers are asking for LTAs out to 2032, HDD vendors are less willing to sign deals this long. Why? Because applications for HDDs / cold storage are broadening, shortages are growing, the TCO vs. NAND is significantly improving, and HDD replacement technology remains non-existent. To be clear, STX/WDC want to provide their customers with 5 years of visibility on capacity and technology introductions, but are just less eager to attach commercial terms 12+ months out.

We want to put some of these pricing data points in context. We, by no means, want to minimize checks that point to a strengthening HDD demand environment. But the HDD vendors are very disciplined on supply (i.e., no greenfield capacity buildouts), and thus nearline EB growth over the next 2-3 years will be dictated by supply, which we believe is growing at a 30-35% CAGR. Conversely, we want to be very clear on exactly how impactful these pricing checks *could* be to STX/WDC's financial model. This is because any incremental pricing upside is effectively all profit (tax effected). As seen in Exhibit 1 and Exhibit 2 below, if we were to assume blended nearline price per TB reached \$25 in CY27 and \$30 in CY28 – in line with our Taiwan checks – STX could generate >\$70 of EPS in CY27 and >\$100 of EPS in CY28, while WDC could do >\$40 of EPS in CY27 and >\$70 of EPS

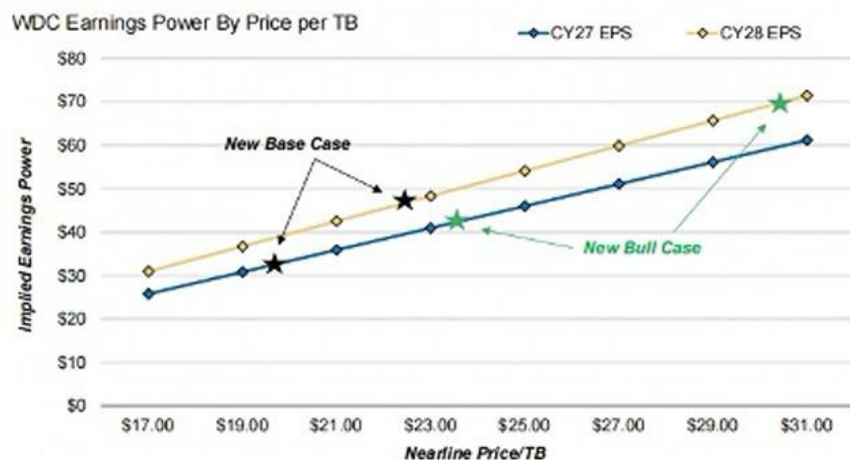
in CY28. For reference, STX/WDC did \$10.24 / \$6.95 of EPS in CY25, implying a 10x-ing of EPS over 3 years. To be clear, we don't want to imply this is the market base case today – our new CY27 STX base case EPS is \$51, while our CY27 WDC base case EPS is \$32. But if these checks prove accurate, our bull case valuations of ~\$1,446 for STX and \$920 for WDC are clearly in play.

Exhibit 1: Our new base case STX forecast implies nearline price/EB of \$19 in CY27 and \$22 in CY28 vs. \$22/\$29 in our new bull case forecasts



Source: Morgan Stanley Research estimates

Exhibit 2: Our new base case WDC forecast implies nearline price/EB near \$19.50 in CY27 and \$22 in CY28 vs. \$22.50/\$29 in our new bull case forecasts



Source: Morgan Stanley Research estimates

Furthermore, HDDs are in the midst of a 10-year technology transition, and the risk of new entrants is limited, in our conversations. Outside of a reversal in cloud capex – which is a risk much broader than HDDs – the most significant risk to our HDD forecasts would be a new entrant that disrupts the powerful, rational HDD oligopoly. During our time with WDC management last week, CEO Irving Tan contextualized this risk for us, explaining that the challenges with becoming competitive as a new entrant are not about capital, but rather: (1) the time it takes to move to the next generation leading-edge node – it's taken over 10 years to qualify HAMR; (2) the ability to internalize/vertically integrate technology across disparate fields of knowledge such as magnetics, material science, photonics, nano-

fabrication, etc.; and (3) a lack of broad supply chain capacity – the HDD supply chain is very consolidated with limited under-utilization today. Mr. Tan noted Chinese players have tried to create cold-storage alternatives recently (Huawei's Magneto-Electric Disk, for example) but found little success. Overall, we feel comfortable with this risk today.

How our estimates and PTs are changing. With this report, we are only making one significant change in our STX/WDC models – adjusting nearline price per TB higher. We don't make any material changes to EB growth, annual cost declines, or opex. But with modest pricing upside (10-20% higher price/TB in 2027-2028), we now forecast stronger revenue growth, higher gross/operating margins, and stronger buybacks. We also tweak each model for recent convertible debt exchanges. **For STX**, this means our FY26 EPS doesn't change, but our FY27 EPS increases 11% to \$35.38 (from \$31.75) and our FY28 EPS increases 30% to \$70.64 (from \$53.95). Subsequently, this drives our PT to \$1,035 (from \$767) or 20x CY27 EPS of \$51.67, and our bull case valuation to \$1,446 (22x bull case CY27 EPS of \$65.74). **For WDC**, our FY26 EPS is also unchanged, while our FY27 EPS increases 13% to \$22.40 (from \$19.89) and our FY28 EPS increases 25% to \$43.47 (from \$34.87). Our PT is now \$650 (from \$488) or 20x CY27 EPS of \$32.29, and our bull case valuation is now \$920 (22x bull case CY27 EPS of \$41.80).

Exhibit 3: Compared to our new base case forecasts, our bull cases assume slightly higher EB shipments, larger price hikes, similar cost-downs, stable opex spend, and stronger buybacks

CY27	STX		WDC	
	Base Case	Bull Case	Base Case	Bull Case
Revenue Y/Y	57%	79%	57%	81%
EB Y/Y	27%	31%	28%	30%
Nearline EB Y/Y	31%	35%	31%	33%
Price Per EB Y/Y	23%	37%	23%	39%
Cost Per EB Y/Y	-13%	-13%	-13%	-13%
Gross Margin	66.1%	70.4%	67.7%	72.1%
Opex (\$B)	\$1.23	\$1.23	\$1.76	\$1.76
EPS (\$)	\$51.67	\$65.74	\$32.29	\$41.80
Diluted Shares (M)	226	225	388	386

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: STX: We raise our FY26-FY28 EPS estimates 11-31%, primarily by incorporating higher \$/TB

(\$M)	FY26E			FY27E			FY28E		
	Now	Old	Diff.	Now	Old	Diff.	Now	Old	Diff.
Revenue	12,040	12,040	0%	18,503	17,470	6%	27,878	22,980	21%
Gross Profit	5,442	5,442	0%	11,048	9,978	11%	19,909	15,380	29%
Opex	(1,173)	(1,173)	0%	(1,217)	(1,216)	0%	(1,267)	(1,266)	0%
Operating Profit	4,268	4,268	0%	9,830	8,762	12%	18,642	14,120	32%
Profit Before Tax	4,013	4,013	0%	9,583	8,593	12%	18,489	13,972	32%
Net Income	3,385	3,385	0%	8,117	7,218	12%	15,539	11,735	32%
EPS	\$14.91	\$14.92	0%	\$35.38	\$31.75	11%	\$70.64	\$53.95	31%
Gross Margin	45.2%	45.2%	0bps	59.4%	57.1%	230bps	71.4%	67.0%	450bps
Operating Margin	35.4%	35.4%	0bps	52.8%	50.2%	270bps	66.9%	61.4%	540bps
Diluted Shares (M)	227	227	0%	229	227	1%	220	218	1%

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: STX: Our EPS estimates are 31-74% higher than consensus due to larger revenue base and higher gross margin estimates

(\$M)	MS	FY26E Cons	Diff.	MS	FY27E Cons	Diff.	MS	FY28E Cons	Diff.
Revenue	12,040	12,044	0%	18,803	18,492	13%	27,878	20,925	33%
Gross Profit	5,442	5,427	0%	11,046	8,486	30%	19,909	10,965	82%
Operating Profit	4,268	4,284	0%	9,829	7,595	29%	18,042	10,712	74%
Profit Before Tax	4,013	3,986	1%	9,663	7,291	33%	18,469	10,400	78%
Net Income	3,385	3,331	2%	8,117	6,220	30%	15,539	8,851	76%
EPS	\$14.91	\$14.88	0%	\$35.38	\$26.97	31%	\$70.64	\$40.60	74%
Gross Margin	45.2%	45.1%	10bps	59.4%	51.9%	790bps	71.4%	52.4%	1900bps
Operating Margin	35.4%	35.6%	-10bps	52.8%	48.1%	680bps	68.9%	51.2%	1570bps
Diluted Shares (M)	227	224	1%	229	231	-1%	220	218	1%

Source: Company data, FactSet, Morgan Stanley Research estimates

Exhibit 6: WDC: We raise our FY26-FY28 EPS estimates by 13-25%, primarily due to higher \$/TB

(\$M)	New	FY26E Old	Diff.	New	FY27E Old	Diff.	New	FY28E Old	Diff.
Revenue	12,857	12,857	0%	19,663	18,378	7%	29,976	25,494	18%
Total HDD I/B	880	880	0%	1,129	1,130	0%	1,376	1,388	-1%
Nearline EB	789	789	0%	1,036	1,036	0%	1,283	1,295	-1%
HDD Price per I/B	\$14.8	\$14.8	0%	\$17.4	\$16.3	7%	\$21.8	\$18.4	19%
HDD Cost per EB	\$7.5	\$7.5	0%	\$6.7	\$6.7	0%	\$6.0	\$5.9	1%
Gross Profit	6,229	6,229	0%	12,055	10,778	12%	21,769	17,288	26%
Opex	(1,544)	(1,544)	0%	(1,668)	(1,643)	2%	(1,853)	(1,778)	4%
Operating Profit	4,684	4,684	0%	10,387	9,136	14%	19,916	15,510	28%
Profit Before Tax	4,565	4,565	0%	10,392	9,123	14%	19,943	15,506	29%
Net Income	3,783	3,783	0%	8,730	7,664	14%	16,753	13,025	28%
EPS	\$9.97	\$9.97	0%	\$22.40	\$19.89	13%	\$43.47	\$34.87	25%
Gross Margin	48.4%	48.4%	0bps	61.3%	58.6%	270bps	72.6%	67.8%	480bps
Operating Margin	36.4%	36.4%	0bps	52.8%	49.7%	310bps	66.4%	60.8%	560bps
Diluted Shares (M)	379	379	0%	390	385	1%	385	373	3%

Source: Company data, Morgan Stanley Research estimates

Exhibit 7: WDC: Our EPS estimates are 28-66% higher than consensus due to larger revenue base and higher gross margin estimates

(\$M)	MS	FY26E Cons	Diff.	MS	FY27E Cons	Diff.	MS	FY28E Cons	Diff.
Revenue	12,857	12,850	0%	19,663	17,711	11%	29,976	22,701	32%
Gross Profit	6,229	6,171	1%	12,055	9,584	26%	21,769	12,567	73%
Opex	(1,544)	(1,543)	0%	(1,668)	(1,384)	21%	(1,853)	(929)	99%
Operating Profit	4,684	4,627	1%	10,387	8,200	27%	19,916	11,638	71%
Profit Before Tax	4,565	4,566	0%	10,392	8,175	27%	19,943	11,621	72%
Net Income	3,783	3,755	1%	8,730	6,829	28%	16,753	9,713	72%
EPS	\$9.97	\$9.97	0%	\$22.40	\$17.62	28%	\$43.47	\$26.20	66%
Gross Margin	48.4%	48.0%	50bps	61.3%	54.1%	720bps	72.6%	55.4%	1730bps
Operating Margin	36.4%	36.0%	50bps	52.8%	44.6%	820bps	66.4%	45.7%	2060bps
Diluted Shares (M)	379	377	1%	390	390	0%	385	371	4%

Source: Company data, FactSet, Morgan Stanley Research estimates

How we think about valuation today – our new base and bull case EPS estimates imply HDD stocks could still double from here. On our CY27 base case EPS, STX and WDC currently trade at 18x and 17x P/E, respectively. For a >75% 3-year EPS CAGR (FY26-FY29), we don't believe valuation is demanding, even if clearly a premium to history (HDDs also didn't post >50% GMs historically either). However, on our new bull case CY27 EPS, STX and WDC trade at just 11.5x P/E, implying these stocks haven't really re-rated despite material EPS revisions over the last 18 months. Given the upside we see to consensus EPS – we're 70% above consensus in our FY28 base case EPS – which imply recent quarterly EPS beats sustain or even get larger, and the potential for our bull case forecasts to become a reality, we continue to believe HDDs represent the cleanest estimate revision and re-rating story within our IT Hardware coverage.

Exhibit 8: STX currently trades at 18x our CY27 base case EPS, though just 11.5x our new CY27 bull case EPS



Source: Morgan Stanley Research estimates

Exhibit 9: Our new \$1,035 PT implies 20x CY27 EPS of \$51.67, though should we be too conservative on pricing, there is nearly 80% upside to our \$1,446 bull case valuation

STX CY27-Based Price Target								
\$/TB	EPS	Target P/E Multiple						
		18.0x	20.0x	22.0x	24.0x	26.0x	28.0x	30.0x
\$19.18	\$43.27	779	865	952	1,039	1,125	1,212	1,298
\$19.00	\$50.97	917	1,019	1,121	1,223	1,325	1,427	1,529
\$21.00	\$58.67	1,056	1,173	1,291	1,408	1,525	1,643	1,760
\$23.00	\$66.37	1,195	1,327	1,460	1,593	1,726	1,858	1,991
\$25.00	\$74.07	1,333	1,481	1,630	1,778	1,926	2,074	2,222
\$27.00	\$81.77	1,472	1,635	1,799	1,963	2,126	2,290	2,453
\$29.00	\$89.47	1,610	1,789	1,968	2,147	2,326	2,505	2,684

STX CY27 Price Target (% Upside)								
\$/TB	EPS	Target P/E Multiple						
		18.0x	20.0x	22.0x	24.0x	26.0x	28.0x	30.0x
\$19.18	\$43.27	-16%	-7%	3%	12%	21%	31%	40%
\$19.00	\$50.97	-1%	10%	21%	32%	43%	54%	65%
\$21.00	\$58.67	14%	27%	39%	52%	64%	77%	90%
\$23.00	\$66.37	29%	43%	57%	72%	86%	100%	115%
\$25.00	\$74.07	44%	60%	76%	92%	108%	124%	140%
\$27.00	\$81.77	59%	76%	94%	112%	129%	147%	164%
\$29.00	\$89.47	74%	93%	112%	132%	151%	170%	189%

Source: Morgan Stanley Research estimates

Exhibit 10: WDC currently trades at 17x our CY27 base case EPS, though just 11.5x our new CY27 bull case EPS



Source: Morgan Stanley Research estimates

Exhibit 11: Our \$650 PT implies 20x CY27 EPS of \$32.29, though should we be too conservative on pricing, there is nearly 90% upside to our \$920 bull case valuation

WDC CY27-Based Price Target								
\$/TB	EPS	Target P/E Multiple						
		18.0x	20.0x	22.0x	24.0x	26.0x	28.0x	30.0x
\$17.00	\$25.79	464	516	567	619	671	722	774
\$19.00	\$30.85	555	617	679	740	802	864	926
\$21.00	\$35.91	646	718	790	862	934	1,006	1,077
\$23.00	\$40.98	738	820	901	983	1,065	1,147	1,229
\$25.00	\$46.04	829	921	1,013	1,105	1,197	1,289	1,381
\$27.00	\$51.10	920	1,022	1,124	1,226	1,329	1,431	1,533
\$29.00	\$56.16	1,011	1,123	1,235	1,348	1,460	1,572	1,685

WDC CY27 Price Target (% Upside)								
\$/TB	EPS	Target P/E Multiple						
		18.0x	20.0x	22.0x	24.0x	26.0x	28.0x	30.0x
\$17.00	\$25.79	-18%	-8%	1%	10%	19%	28%	37%
\$19.00	\$30.85	-1%	10%	21%	32%	43%	53%	64%
\$21.00	\$35.91	15%	28%	40%	53%	66%	79%	91%
\$23.00	\$40.98	31%	46%	60%	75%	89%	104%	118%
\$25.00	\$46.04	47%	64%	80%	96%	113%	129%	145%
\$27.00	\$51.10	63%	82%	100%	118%	136%	154%	172%
\$29.00	\$56.16	80%	100%	119%	139%	159%	179%	199%

Source: Morgan Stanley Research estimates

Our latest views on STX vs. WDC. We are Overweight both stocks and see them as our most-preferred OWs within our IT Hardware coverage. That said, we have a tactical bias towards STX, as we see: (1) the ability to re-price early HAMR customers in the September '26 quarter; and (2) the ability to cost down slightly faster than WDC in C2H26 given a higher cost/TB starting point as creating more material gross margin tailwinds for STX vs. WDC over the next 3-6 months. This is why STX is our current 'Top Pick'. However, on a longer-term basis, WDC screens as modestly more attractive given: (1) greater relative upside to our bull case valuation; and (2) a slightly less-levered balance sheet. In reality, we believe clients would benefit from exposure to each stock.

What are the most notable risks to owning HDDs at this point? The key risks to

HDDs remain: (1) the durability and magnitude of this cycle; and (2) the potential for new entrants. On the former, our Asia checks give us comfort in HDD utilization/customer inventory, and the broadening of demand + growing supply shortages suggest there is durability to this cycle. On the latter, as we discussed above, we see limited risk of new entrants to the HDD market, and/or of a strategic consortium propping up the distant 3rd player in HDDs. However, these remain the two areas we continue to track most closely as we constantly stress-test our theses.

Risk Reward – Seagate Technology (STX.O) Top Pick

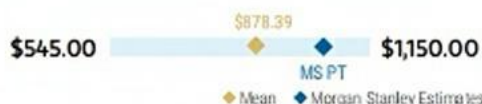
Once in a Generation Data Center Buildout and Tech Leadership Supports OW Rating

PRICE TARGET \$1,035.00

Our PT implies 20.0x our CY27 EPS of \$51.67, as we expect earnings upward revisions by the Street with shares trading 6.0x turns above the peak multiples in the previous industry upcycle.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance • Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 12 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE \$1,446.00

22.0x CY27 Bull-case EPS of \$65.74

Cloud storage demand surprises positively, gross margins expand more quickly due to HAMR mix, and STX sees a greater AI-driven demand uplift. Cloud demand further accelerates into CY26, and HAMR's launch is successful, putting upward pressure on margins amidst market share gain. Gross margins approaching mid-60% levels in FY27-28. STX sees incremental HDD demand from AI in FY26 and it is more material than expected. \$1,446 represents 22.0x P/E on CY27 bull-case EPS of \$65.74.

BASE CASE \$1,035.00

20.0x CY27 EPS of \$51.67

Gross margins expand to 60% levels and AI drives HDD demand, creating a compelling EPS story in FY26-28. The HDD market remains healthy in CY26, and AI drives a modest HDD demand uplift in FY26-28. HAMR drives gross margins to 60% levels and continued opex discipline, along with share buybacks, supports EPS. Our PT assumes 18.0x CY27 EPS of \$51.67, with STX stock multiples trading 6.0x turns above the peak of previous HDD industry upcycle in 2021-22.

BEAR CASE \$490.00

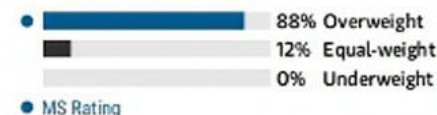
14.0x CY27 Bear-case EPS of \$35.00

HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. HDD demand growth turns out to be milder than expected, keeping gross margins from further expanding. eSSD starts to replace some of the HDD demand in cloud storage environments for cold data, while the HDD industry becomes less irrational and starts expanding capacity, which weigh on valuation multiples. Our bear case assumes shares trade at 14.0x on CY27 bear-case EPS of \$35.00.

OVERWEIGHT THESIS

STX benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We are entering a period of AI-driven storage demand growth, benefiting both HDDs and flash shipments. We believe the HDD industry supply discipline has made the industry more profitable, and that HAMR and STX's cost/pricing actions will provide a tailwind to the company's gross margin profile in the long term, which continues to be underestimated by the market. Combined with opex discipline, we expect a decent multi-year earnings story ahead. As a result, we are Overweight rated on STX.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Seagate Technology (STX.O)

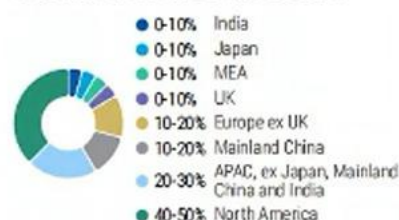
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (Y/Y) (%)	38.9	32.4	54.5	49.9
HDD Exabyte Growth (Y/Y) (%)	49.5	32.0	29.6	20.2
Capacity Optimized Revenue Growth (Y/Y) (%)	57.4	0.0	0.0	0.0
Non-GAAP Gross Margin (%)	35.8	45.2	59.4	71.4
Non-GAAP Operating Margin (%)	23.4	35.4	52.8	66.9

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength persists and margins ramp to high-40%
- Stronger for longer cloud capex growth
- New CSP qualifications on HAMR platform
- Management accelerates buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- GM expands to high-50% range
- Smoother/stronger cloud cycles drive multiple expansion
- STX exhibits more pricing power
- HAMR drives share gains

RISKS TO DOWNSIDE

- Qualifications for high-capacity drives take longer than expected
- Steeper declines from cyclical markets
- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff costs

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.7%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv, MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Western Digital (WDC.O)

An Undervalued Special Sit Tied To Once In A Generation Data Center Buildout

PRICE TARGET \$650.00

Our PT implies 20.0x CY27 EPS of \$27.12, as we expect earnings upward revisions by the Street with shares trading on par with STX at 6.0x turns above the peak multiples (14.0x) in the previous industry upcycle.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance • Current Stock Price ♦ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 12 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#).

BULL CASE

\$920.00

22.0x CY27 Bull-case EPS of \$41.80

Cloud storage demand surprises positively, gross margins expand more quickly due to much higher high-capacity mix, and WDC sees a greater AI-driven demand uplift. Gross margins approaching 60%+ range in FY27-28. Incremental HDD demand from AI in CY26 is more material than expected. Pricing environment remains healthy into CY27, driving mid-20s % Y/Y price per EB growth. HAMR timeline accelerates, with earlier-than-expected qualification completion and volume shipment timing.

BASE CASE

\$650.00

20.0x CY27 EPS of \$32.29

GMs approach 50% range and AI drives HDD demand, creating a compelling EPS story in FY26-27. The HDD market remains healthy in CY26, and AI drives a HDD demand uplift in FY26-28. Increase in high-capacity drive mix expand GMs to 60% levels, and continued opex discipline supports EPS. Our PT assumes 20.0x - in line with our target multiple for STX - which is 6.0x turns above where STX stock multiples traded up to during the previous HDD industry upcycle in 2021-22.

BEAR CASE

\$322.00

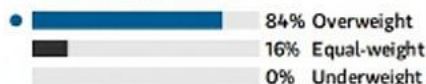
14.0x CY27 Bear-case EPS of \$23.00

HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. Our bear case assumes the HDD demand growth turns out to be milder than expected. Despite market share leadership in high-capacity drives, headwinds such as underutilization, production charges, and tariffs keep GM depressed and lead to fixed cost deleverage. Our bear case assumes shares trade at 14.0x on our CY27 bear-case EPS of \$23.00.

OVERWEIGHT THESIS

WDC benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We believe that the HDD cycle is 'Stronger for Longer' - demand outstrips supply with continued upward pressure in HDD pricing - and entering a period of AI-driven storage demand growth, which will benefit both HDDs and SSDs shipments. While WDC is behind STX in HAMR timeline, we believe WDC will retain its leading HDD revenue and profits market share in the near term with its competitive UltraSMR solutions for high-capacity drives before the industry shifts to wider adoption of HAMR. Accelerated mix shift toward higher-capacity drives lowers cost per TB, supporting continued margin expansion.

Consensus Rating Distribution



• MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive

Pricing Power: Positive

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Western Digital (WDC.O)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (Y/Y) (%)	50.7	35.1	52.9	52.5
HDD Exabyte Growth (Y/Y) (%)	57.8	26.2	28.4	21.9
Nearline HDD Exabyte Growth (Y/Y) (%)	72.2	29.3	31.3	23.8
Non-GAAP Gross Margin (%)	39.4	48.4	61.3	72.6
Non-GAAP Operating Margin (%)	24.4	36.4	52.8	66.4

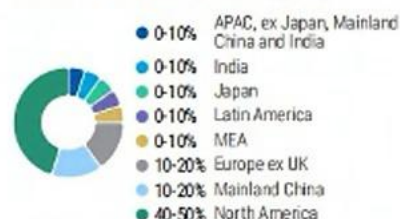
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
20 Nov 2026 - 24 Nov 2026	Western Digital Corp Annual Shareholders Meeting	

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength surprises to upside
- Gross margins approaching mid-50s %
- CSPs qualify on HAMR platform, signaling imminent volume shipments
- Further de-leveraging
- Dividend increase / acceleration of buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- Smoother cloud cycles drive multiple expansion
- WDC exhibits more pricing power
- HAMR qualification/volume shipment timeline earlier than expected

RISKS TO DOWNSIDE

- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff impacts
- Competitive pressures & HAMR timeline delays
- Dilution from converts more significant than expected

OWNERSHIP POSITIONING

Inst. Owners, % Active	52.3%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv, MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



Source: Refinitiv, Morgan Stanley Research

STX: Financial Model

Exhibit 12: Seagate Technology Income Statement

(\$ in millions)	FY2024				FY2025				FY2026				Financial Year				
	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	2024 A	2025 A	2026 C	2027 C	2028 C
Revenues	2,168	2,325	2,168	2,444	2,629	2,825	3,112	3,474	3,886	4,253	4,665	5,578	6,551	6,897	12,848	19,663	27,878
Data Center	1,862	1,736	1,615	1,863	2,114	2,226	2,300	2,774	3,100	3,867	4,136	4,741	6,796	6,812	15,811	24,948	34,948
Edge IoT	580	580	545	581	515	601	612	701	786	786	759	837	2,201	2,425	3,088	3,088	3,088
Cost of Revenue	1,445	1,580	1,379	1,511	1,575	1,634	1,645	1,741	1,789	1,884	1,961	1,992	4,881	5,542	6,599	7,557	7,969
Gross Profit	723	825	791	925	1,054	1,191	1,467	1,734	2,027	2,466	2,964	3,587	1,670	3,255	5,442	11,046	19,909
Gross Margin	33.3%	35.3%	36.5%	37.8%	40.1%	42.2%	47.1%	49.9%	52.2%	58.0%	63.5%	64.3%	25.5%	35.8%	42.3%	56.2%	71.4%
Incremental Margin	60.5%	60.5%	63.4%	61.6%	71.6%	73.2%	71.6%	75.4%	82.6%	83.6%	83.6%	88.1%	N/A	82.3%	74.3%	65.4%	65.4%
Operating Expenses	281	287	274	288	291	290	296	296	303	304	304	307	665	1,128	1,173	1,217	1,287
Product Development	181	184	180	173	180	187	194	195	198	199	199	201	664	724	762	798	825
SG&A	100	103	94	105	111	103	102	101	105	104	105	106	339	404	417	419	462
Income from Operations (PTOP)	442	538	507	640	763	901	1,167	1,437	1,724	2,162	2,660	3,280	677	2,127	4,269	9,829	18,642
PTOP Margin	20.4%	23.1%	23.3%	26.2%	29.0%	31.9%	37.5%	41.4%	44.3%	50.7%	57.0%	58.8%	10.3%	31.1%	33.4%	50.5%	66.8%
Total Interest Income (expense), net	(87)	(86)	(88)	(72)	(74)	(78)	(62)	(50)	(45)	(47)	(48)	(38)	(91)	(92)	(100)	(100)	(144)
Operating Income Before Taxes	355	452	427	568	689	823	1,105	1,387	1,679	2,115	2,612	3,242	333	1,891	4,813	9,662	18,499
GAAP Income Tax Provision	11	14	15	4	55	114	110	222	209	240	410	510	110	44	517	1,540	2,000
Recurring Tax Provision	18	19	20	11	106	129	111	222	289	343	419	519	81	69	628	1,848	2,060
Effective Tax Rate	3.1%	3.0%	3.2%	0.6%	7.9%	13.9%	9.5%	15.4%	12.9%	11.4%	15.6%	15.7%	12.2%	2.3%	10.7%	16.2%	10.8%
Operating Net Income	344	438	407	564	684	709	994	1,165	1,470	1,775	2,202	2,732	272	1,732	3,365	8,117	16,499
Operating Net Income Margin	15.8%	18.8%	18.8%	23.1%	26.2%	24.8%	31.9%	33.5%	37.8%	41.5%	47.2%	48.8%	4.2%	25.1%	26.1%	41.3%	58.7%
One-Time Charges/Adjustments	31	97	87	88	34	109	188	84	79	88	88	181	287	283	293	338	409
Total One-time, gross	39	102	72	75	75	124	241	64	79	88	88	181	158	288	504	338	509
Recurring Income Before Taxes	315	350	335	489	614	727	864	1,303	1,600	2,044	2,531	3,143	485	1,513	3,508	9,324	17,990
GAAP Net Income	305	336	340	485	549	595	748	1,041	1,341	1,704	2,112	2,622	379	1,469	2,991	7,778	15,939
Stock Option Expense	38	40	54	55	52	53	54	55	55	73	84	87	127	200	215	323	454
Tax benefit on stock option expense	2	2	3	3	3	3	3	3	3	4	4	4	6	10	11	18	21
Stock Option Expense Per Share	\$0.17	\$0.22	\$0.24	\$0.23	\$0.22	\$0.22	\$0.23	\$0.25	\$0.27	\$0.31	\$0.35	\$0.41	\$0.57	\$0.89	\$0.92	\$1.34	\$2.09
Operating Net Income (gross-stock options)	372	480	458	612	632	712	855	1,223	1,473	1,858	2,281	2,814	385	1,822	3,593	8,424	16,968
Full-Diluted EPS																	
EPS - Modified	\$1.86	\$2.03	\$1.89	\$2.68	\$2.81	\$3.11	\$4.10	\$4.89	\$6.11	\$7.73	\$9.40	\$11.86	\$1.29	\$6.10	\$16.91	\$36.38	\$70.84
EPS - Reported	\$1.43	\$1.58	\$1.59	\$2.27	\$2.46	\$2.82	\$3.28	\$4.27	\$5.80	\$7.30	\$8.72	\$11.55	\$1.79	\$6.87	\$15.18	\$33.50	\$66.37
EPS - Modified excl. Stock Option Expense	\$1.75	\$2.25	\$2.14	\$2.85	\$2.84	\$3.33	\$4.30	\$5.30	\$6.38	\$8.04	\$9.35	\$12.42	\$1.86	\$8.99	\$15.83	\$36.71	\$72.73
Dividend Payment	148	153	153	153	158	161	160	167	172	171	170	168	585	606	668	672	665
Dividend Per Share	\$0.79	\$0.72	\$0.72	\$0.72	\$0.74	\$0.74	\$0.74	\$0.75	\$0.79	\$0.76	\$0.76	\$0.76	\$2.79	\$2.86	\$2.86	\$3.08	\$3.14
Weighted Average Outstanding Shares	211	212	212	212	214	218	221	226	229	228	228	221	210	212	228	221	208
Aug Shares (Basic)	211	212	212	212	214	218	221	225	228	228	224	222	210	212	219	224	215
Aug Shares (Fully Diluted)	212	213	214	215	215	220	226	231	231	231	229	227	211	214	227	229	220

Source: Company data, Morgan Stanley Research estimates

Exhibit 13: Seagate Technology Income Statement Analysis

(In millions)	FY2024				FY2025				FY2026				FY2027				
	Q1-24	Q2-24	Q3-24	Q4-24	Q1-25	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Q3-26	Q4-26	2027A	2027B	2027C	2027D	2027E
Margin Analysis																	
Gross Margin	33.3%	35.5%	36.2%	37.9%	40.1%	42.0%	47.0%	49.5%	52.2%	56.7%	60.9%	64.2%	35.3%	36.9%	45.2%	59.4%	71.4%
Data Center	30.1%	33.5%	34.3%	36.8%	33.7%	35.5%	39.2%	42.8%	45.8%	50.2%	54.5%	58.0%	31.1%	32.4%	40.4%	54.1%	66.1%
Edge IoT	16.7%	20.7%	21.1%	22.1%	25.4%	25.7%	33.9%	35.5%	42.0%	45.0%	48.5%	51.5%	20.1%	22.4%	27.1%	34.1%	45.1%
Product Development	8.3%	7.5%	8.2%	7.3%	7.1%	6.6%	6.2%	5.6%	5.2%	4.6%	4.1%	3.6%	12.0%	8.0%	6.3%	4.3%	3.2%
SG&A	4.8%	4.4%	4.4%	4.4%	4.0%	3.8%	3.3%	2.9%	2.8%	2.4%	2.2%	1.9%	5.7%	4.4%	3.4%	2.3%	1.8%
Operating Expenses	13.0%	12.3%	12.7%	11.7%	11.1%	10.2%	9.5%	8.5%	8.0%	7.0%	6.2%	5.5%	15.2%	12.4%	9.7%	6.5%	4.5%
EBITDA Margin	23.3%	25.8%	26.4%	28.1%	31.8%	34.3%	39.6%	44.6%	47.3%	51.7%	56.0%	60.3%	14.4%	16.1%	28.0%	41.8%	55.1%
PTOP Margin	20.4%	23.1%	23.5%	25.2%	28.0%	31.0%	37.5%	41.4%	45.2%	49.7%	54.7%	58.8%	12.3%	14.4%	26.4%	40.2%	53.5%
Pre-tax Margin	18.4%	19.4%	19.8%	21.5%	24.2%	26.4%	33.9%	38.0%	41.1%	46.8%	51.8%	56.1%	9.7%	11.8%	23.8%	37.6%	50.9%
Net Income	15.5%	16.0%	16.8%	18.7%	22.2%	24.8%	30.0%	33.5%	37.1%	41.0%	45.2%	49.5%	4.2%	5.0%	10.1%	15.0%	20.0%
Year-over-Year Growth (%)																	
Revenue	49.1%	49.5%	36.5%	29.5%	21.3%	21.5%	44.1%	42.2%	44.8%	54.1%	56.2%	66.8%	-11.3%	38.9%	32.4%	54.0%	48.3%
Data Center					33.0%	28.1%	54.0%	45.0%	46.0%	50.4%	64.2%	70.3%				41.4%	55.2%
Edge IoT					-12.1%	2.2%	12.9%	39.6%	31.1%	30.8%	21.7%	19.5%				5.9%	27.3%
Gross Margin	151.0%	124.8%	85.8%	58.8%	45.8%	44.4%	87.3%	87.2%	92.3%	137.3%	100.0%	106.3%	5.3%	54.9%	87.2%	133.0%	80.2%
Product Development	5.0%	14.3%	3.8%	12.3%	2.8%	1.0%	7.8%	8.7%	6.4%	6.0%	2.8%	2.2%	-17.3%	12.7%	5.2%	4.7%	4.7%
SG&A	29.8%	30.4%	10.8%	9.3%	5.0%	0.5%	8.9%	-1.9%	-0.8%	1.4%	2.8%	6.1%	-3.4%	18.2%	1.9%	1.8%	2.8%
Operating Expenses	13.3%	13.0%	10.8%	11.7%	3.0%	1.0%	8.0%	3.0%	4.9%	4.8%	2.7%	3.5%	-12.5%	13.0%	4.0%	3.7%	4.1%
PTOP	100.0%	203.6%	177.6%	85.1%	72.8%	67.3%	130.2%	124.6%	126.0%	160.2%	127.9%	128.2%	63.8%	214.2%	100.1%	130.3%	80.7%
EBIT	NM	973.2%	335.7%	130.0%	64.1%	85.8%	158.8%	144.7%	145.7%	155.0%	137.1%	133.8%	321.7%	440.8%	122.8%	140.8%	91.4%
Net Income	NM	932.0%	473.2%	150.0%	72.5%	62.1%	129.0%	100.0%	141.0%	154.1%	135.0%	133.0%	580.4%	536.8%	155.4%	120.8%	91.4%
ModWare EPS	NM	1618.7%	587.8%	147.8%	88.1%	83.8%	118.4%	88.2%	113.8%	148.8%	134.0%	137.4%	878.7%	827.8%	241.1%	137.3%	88.7%
Sequential Growth (%)																	
Revenue	14.9%	7.2%	-7.1%	13.1%	7.6%	7.5%	10.2%	11.0%	5.8%	14.4%	11.8%	14.7%					
Data Center		9.7%	-7.0%	15.4%	12.5%	8.2%	12.4%	11.0%	11.8%	15.0%	15.1%	15.5%					
Edge IoT		0.5%	-7.5%	6.0%	-11.4%	16.7%	1.8%	14.9%	0.8%	11.3%	-3.4%	10.3%					
Gross Margin	24.0%	14.1%	-5.2%	10.0%	12.8%	12.0%	22.8%	18.5%	16.0%	21.8%	25.1%	21.2%					
Product Development	14.8%	1.7%	-12.3%	-0.6%	3.9%	0.8%	3.1%	0.3%	1.7%	0.7%	0.1%	0.7%					
SG&A	2.0%	3.0%	-1.7%	13.0%	-1.0%	-1.5%	-1.0%	-0.2%	2.8%	-0.2%	0.1%	1.2%					
Operating Expenses	9.8%	3.1%	-4.9%	4.4%	1.7%	-0.3%	2.1%	0.1%	2.1%	0.4%	0.1%	0.8%					
PTOP Margin	35.3%	21.7%	-5.8%	26.3%	19.2%	18.1%	29.6%	33.2%	18.8%	25.6%	27.9%	23.3%					
Pre-tax Margin	44.3%	27.3%	-5.5%	32.8%	21.5%	20.8%	33.0%	35.6%	21.0%	26.0%	23.4%	22.7%					
Net Income	51.4%	28.3%	-5.0%	36.0%	4.3%	35.4%	33.0%	24.8%	21.0%	26.0%	23.4%	23.7%					
ModWare EPS	50.8%	28.3%	-6.4%	36.0%	1.1%	18.8%	21.9%	22.3%	28.3%	26.8%	24.2%	24.9%					

Source: Company data, Morgan Stanley Research estimates

Exhibit 14: Seagate Technology Balance Sheet

(in millions)	F2024E				F2025E				F2027E				Fiscal Year				
	Sept-24	Dec-24	Mar-25	Jun-25	Sept-25	Dec-25	Mar-26	Jun-26	Sept-26	Dec-26	Mar-27	Jun-27	2024A	2025A	2026E	2027E	2028E
Assets																	
Current Assets:																	
Cash and cash equivalents	1,235	1,238	814	891	1,112	1,045	1,145	1,095	1,195	1,202	1,403	1,451	1,255	881	1,095	1,451	2,254
Short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net	628	587	622	595	1,073	1,245	1,137	1,250	1,283	1,009	1,802	1,562	429	599	1,250	1,562	2,822
Other current assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Inventories	1,303	1,473	1,472	1,440	1,495	1,455	1,500	1,599	1,722	1,768	1,753	1,795	1,259	1,440	1,599	1,795	1,840
Other current assets	398	384	374	383	381	419	426	380	416	479	405	414	306	383	382	414	484
Total Current Assets	3,608	3,682	3,282	3,609	4,063	4,289	4,269	4,216	4,619	5,159	5,824	5,821	3,332	3,653	4,216	5,821	6,359
Property, equipment and leasehold improvements, net	1,599	1,595	1,613	1,657	1,688	1,771	1,852	1,919	2,051	2,102	2,211	2,475	1,614	1,657	1,919	2,475	3,300
Goodwill	1,219	1,219	1,219	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,219	1,221	1,221	1,221	1,221
Intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other assets, net	1,844	1,883	1,880	1,840	1,801	1,807	1,820	1,820	1,820	1,820	1,820	1,820	1,874	1,882	1,820	1,820	1,820
Total Assets	7,972	7,969	7,564	8,027	8,442	8,758	8,892	8,876	9,391	10,054	10,866	11,026	7,729	8,023	8,876	11,026	14,409
Liabilities																	
Current Liabilities:																	
Accounts payable	1,718	1,582	1,487	1,601	1,673	1,771	1,684	1,875	1,857	1,988	2,019	2,123	1,786	1,601	1,875	2,123	2,187
Accrued employee compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued employee compensation	148	204	242	252	212	252	209	932	104	100	110	115	936	362	932	115	66
Accrued deferred compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued expenses	685	608	642	632	673	672	771	784	788	811	793	801	664	632	784	801	716
Accrued warranty	71	63	61	65	63	65	70	174	190	218	243	279	74	60	174	279	401
Accrued income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of debt & debt	479	479	-	-	1,400	908	300	300	300	300	300	300	479	-	300	300	300
Total Current Liabilities	2,941	2,969	2,412	2,648	4,117	3,761	3,331	3,332	3,338	3,502	3,364	3,714	2,999	2,648	3,332	3,714	3,767
Long-Term Liabilities																	
Accrued warranty	70	72	72	77	82	84	120	116	225	261	292	305	70	77	116	305	462
Other liabilities	844	796	782	788	807	803	882	872	729	788	772	768	881	796	872	768	784
Long-term debt, less current portion	5,107	5,200	5,145	4,995	3,408	3,521	3,455	3,095	3,095	3,095	3,095	2,315	5,195	4,995	3,095	2,315	2,715
Total Long-Term Liabilities	6,011	6,069	6,000	5,828	4,298	4,408	4,447	3,983	4,022	4,154	4,160	3,388	6,121	5,828	3,983	4,008	3,881
Total Liabilities	8,952	9,038	8,412	8,476	8,415	8,169	7,778	7,315	7,360	7,656	7,524	7,102	9,120	8,476	7,315	7,724	7,648
Total Stockholder's Equity	(9,080)	(9,070)	(8,850)	(8,447)	(833)	488	1,085	1,891	2,031	2,408	3,342	3,924	(1,491)	(453)	1,561	3,302	6,761
Total Liabilities and Stockholder's Equity	7,972	7,969	7,564	8,029	8,442	8,758	8,892	8,876	9,391	10,054	10,866	11,026	7,729	8,023	8,876	11,026	14,409

Source: Company data, Morgan Stanley Research estimates

Exhibit 15: Seagate Technology Statement of Cash Flows

(in millions)	F2024H1				F2023H1				F2022H1				Fiscal Year				
	Sep-24	Dec-24	Mar-25	Jun-25	Sep-23	Dec-23	Mar-24	Jun-24	Sep-22	Dec-22	Mar-23	Jun-23	2024	2023	2022	2021	2020
Cash Flow Statement (Non-Consolidated)																	
Operating activities:																	
Net income (loss)	305	336	383	468	540	560	748	1,121	1,341	1,154	2,112	2,461	335	1,469	2,961	7,778	18,239
Depreciation and amortization	54	52	63	51	72	58	60	121	78	87	94	195	204	251	212	374	327
Stock-based compensation and associated equity charges	38	49	64	59	52	63	84	80	68	76	84	97	127	200	239	323	481
Deferred income taxes	(6)	8	3	(7)	(20)	2	(13)	-	-	-	-	-	78	(9)	(52)	-	-
Impairment of research and development charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash portion of restructuring charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred compensation charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Debt extinguishment charges	-	-	-	7	-	-	-	-	-	-	-	-	7	7	-	-	-
Excess tax benefit from stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	33	75	17	16	15	30	84	-	-	-	-	-	(275)	129	185	-	-
Changes in Operating Assets and Liabilities:																	
Accounts receivable	(105)	41	(35)	(130)	(134)	(173)	43	(55)	(73)	(306)	(265)	(70)	192	(513)	(504)	(732)	(805)
Inventories	(144)	(69)	1	32	(18)	(2)	(33)	(29)	(163)	(40)	8	(41)	(89)	(200)	(129)	(326)	(54)
Accounts payable	12	(200)	(14)	59	84	79	(73)	131	(110)	129	63	74	227	(242)	270	240	64
Accrued employee compensation	37	45	51	51	(140)	32	45	(255)	193	147	24	78	5	207	(455)	441	350
Accrued expenses, income taxes and warranty	10	(58)	(26)	(22)	150	(149)	279	-	-	-	-	-	(126)	(56)	249	-	-
Other assets and liabilities	(92)	(198)	(14)	24	(125)	136	(508)	44	(37)	(90)	(84)	(78)	798	(177)	(29)	(22)	(22)
Net Cash Provided by Operating Activities	95	221	259	339	532	722	1,114	999	1,447	1,636	2,066	2,796	918	1,682	3,569	8,805	14,862
Investing activities:																	
Acquisition of property, equipment and leasehold improvements	(58)	(71)	(43)	(63)	(153)	(116)	(165)	(174)	(190)	(218)	(243)	(276)	(254)	(336)	(556)	(500)	(1,169)
Proceeds from sale of PPE	-	1	-	-	15	-	-	-	-	-	-	-	42	1	15	-	-
Maturities and sales of short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchases of short-term investments	-	-	-	-	-	-	(2)	-	-	-	-	-	-	-	(6)	-	-
Acquisition, net of cash and cash equivalents	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of prepaid off-investing assets and liabilities, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash (PPE)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of certain investments	-	-	12	41	-	-	-	-	-	-	-	-	11	31	-	-	-
Sale of XQtech, net of payment of intercompany debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sale of Playhouse facility	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	-	-	25	(68)	-	-	-	-	-	-	-	-	328	(30)	-	-	-
Net cash used in investing activities	(58)	(70)	(31)	(100)	(138)	(116)	(163)	(174)	(190)	(218)	(243)	(276)	118	(275)	(545)	(500)	(1,169)
Financing activities:																	
Issuance of long-term debt, net of issuance costs	-	-	-	400	-	-	-	-	-	-	-	-	1,500	400	-	-	-
Redemption of long-term debt, including extinguishment of debt	-	-	(30)	(54)	(17)	(69)	(64)	(100)	-	-	-	(150)	(1,288)	(1,079)	(1,542)	(150)	(500)
Redemption premium on 10% senior notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of common shares (2022 - in initial public offering)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash used to repurchase stock	-	-	-	-	(32)	-	(39)	(100)	(600)	(1,200)	(1,300)	(2,200)	-	-	(1,050)	(5,800)	(1,500)
Proceeds from exercise of employee stock options and similar transactions not funded	29	3	34	36	27	8	27	0	0	0	0	0	68	72	84	1	1
Excess tax benefit from stock options	(147)	(168)	(162)	(162)	(150)	(154)	(165)	(166)	(167)	(172)	(177)	(178)	(585)	(602)	(634)	(647)	(678)
Other, net	(30)	(7)	(10)	(17)	(18)	(48)	(49)	-	-	-	-	-	(280)	(30)	(121)	-	-
Net Cash Used in Financing Activities	(148)	(152)	(205)	(201)	(225)	(263)	(252)	(266)	(1,867)	(1,372)	(1,677)	(2,200)	(672)	(1,274)	(2,711)	(6,438)	(12,374)
Increases/Decreases in Cash and Cash Equivalents	(110)	(1)	(40)	77	229	(60)	89	(111)	190	106	181	(2)	871	(867)	113	488	1,303
Cash and Cash Equivalents at Beginning of Period	1,500	1,541	1,545	895	655	1,114	1,045	1,147	1,006	1,117	1,303	1,454	765	1,560	885	1,006	1,452
Cash, Cash Equivalents & Restricted Cash at End of Period	1,241	1,510	818	865	1,114	1,048	1,147	1,006	1,197	1,323	1,484	1,452	1,382	893	1,006	1,482	2,755
Restricted Cash	2	2	2	2	2	2	1	1	1	1	1	1	2	2	1	1	1
Change in Restricted Cash	-	-	-	-	-	-	(1)	-	-	-	-	-	(1)	-	(1)	-	-
Cash and Cash Equivalents at End of Period	1,239	1,508	814	861	1,112	1,046	1,146	1,005	1,196	1,322	1,483	1,451	1,380	891	1,005	1,481	2,754

Source: Company data, Morgan Stanley Research estimates

WDC: Financial Model

Exhibit 16: Western Digital Income Statement

	2019			2018			2017			2016			2015			2014			2013			2012			2011			2010			2009			2008			2007			2006			2005			2004			2003			2002			2001			2000			1999			1998			1997			1996			1995			1994			1993			1992			1991			1990			1989			1988			1987			1986			1985			1984			1983			1982			1981			1980			1979			1978			1977			1976			1975			1974			1973			1972			1971			1970			1969			1968			1967			1966			1965			1964			1963			1962			1961			1960			1959			1958			1957			1956			1955			1954			1953			1952			1951			1950			1949			1948			1947			1946			1945			1944			1943			1942			1941			1940			1939			1938			1937			1936			1935			1934			1933			1932			1931			1930			1929			1928			1927			1926			1925			1924			1923			1922			1921			1920			1919			1918			1917			1916			1915			1914			1913			1912			1911			1910			1909			1908			1907			1906			1905			1904			1903
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Source: Company data, Morgan Stanley Research estimates.

Exhibit 17: Western Digital Income Statement Analysis

[illegible]

Source: Company data, Morgan Stanley Research estimates

Exhibit 18: Western Digital Balance Sheet

	2014	2015	2016	2017	2018	2019	2020	2021	2022
Assets									
Cash and cash equivalents	1,401	1,307	1,448	1,488	1,500	1,524	1,548	1,562	1,576
Accounts receivable, net	1,451	1,524	1,600	1,680	1,760	1,840	1,920	2,000	2,080
Inventory	480	480	480	480	480	480	480	480	480
Prepaid expenses and other assets	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400
Property, plant and equipment, net	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Goodwill	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Intangible assets, net	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Deferred tax assets	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Other assets	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Liabilities									
Accounts payable	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Accrued expenses	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Deferred tax liabilities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Other liabilities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Equity									
Common stock	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Retained earnings	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Accumulated other comprehensive income	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Other equity	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400

Source: Company data, Morgan Stanley Research estimates

Exhibit 19: Western Digital Statement of Cash Flows

	2014	2015	2016	2017	2018	2019	2020	2021	2022
Operating activities									
Net income	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Depreciation and amortization	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Provision for doubtful accounts	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in accounts receivable	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in inventory	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in prepaid expenses and other assets	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in accounts payable	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in accrued expenses	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in deferred tax liabilities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in other liabilities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Investing activities									
Capital expenditures	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Acquisition of businesses	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Disposal of businesses	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in other investing activities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Financing activities									
Issuance of common stock	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Repurchase of common stock	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400
Change in other financing activities	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400	1,400

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of May 31, 2026)

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buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1,632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

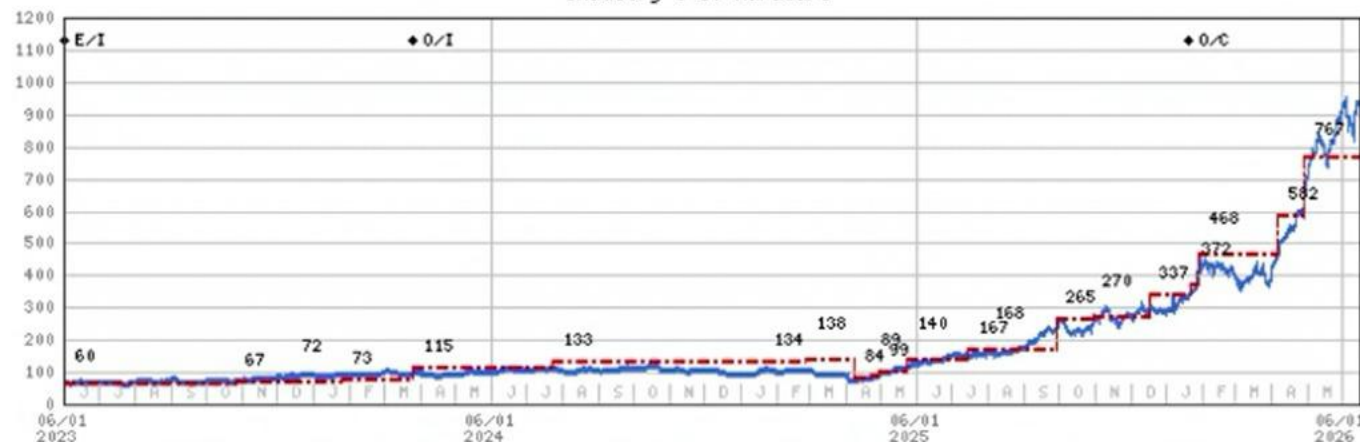
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Seagate Technology (STX.O) - As of 06/15/26 GMT in USD
Industry : IT Hardware

Stock Rating History: 6/1/21 : O/A; 6/10/21 : O/I; 10/5/21 : E/C; 1/18/23 : O/I; 4/21/23 : E/I; 3/26/24 : O/I; 1/20/26 : O/C

Price Target History: 4/22/21 : 98; 6/8/21 : 114; 7/21/21 : 118; 10/5/21 : 88; 10/22/21 : 94; 1/26/22 : 101; 3/30/22 : 99;
4/27/22 : 95; 7/14/22 : 89; 7/21/22 : 84; 8/31/22 : 70; 10/17/22 : 57; 10/26/22 : 54; 1/18/23 : 69; 1/26/23 : 72; 4/21/23 : 60;
10/26/23 : 67; 12/12/23 : 72; 1/25/24 : 73; 3/26/24 : 115; 7/24/24 : 133; 1/21/25 : 134; 2/26/25 : 138; 4/8/25 : 84; 4/22/25 : 89;
4/29/25 : 99; 5/23/25 : 140; 7/14/25 : 167; 7/29/25 : 168; 9/28/25 : 265; 10/29/25 : 270; 12/17/25 : 337; 1/22/26 : 372;
1/28/26 : 468; 4/6/26 : 582; 4/28/26 : 767

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

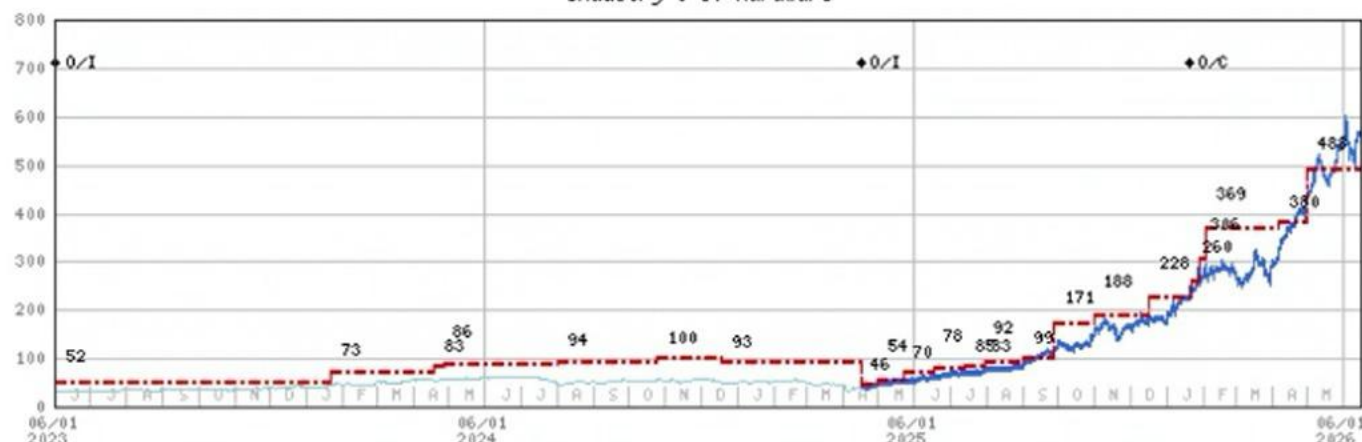
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Western Digital (WDC.O) - As of 06/15/26 GMT in USD
Industry : IT Hardware

Stock Rating History: 6/1/21 : O/A; 6/10/21 : O/I; 10/5/21 : O/C; 1/18/23 : O/I; 4/16/25 : O/I; 1/20/26 : O/C

Price Target History: 4/30/21 : 88; 10/28/21 : 82; 1/28/22 : 71; 8/7/22 : 65; 10/24/22 : 52; 1/21/24 : 73; 4/18/24 : 83; 4/26/24 : 86; 8/1/24 : 94; 10/25/24 : 100; 12/19/24 : 93; 4/16/25 : 46; 5/1/25 : 54; 5/22/25 : 70; 6/17/25 : 78; 7/14/25 : 85; 7/28/25 : 83; 7/30/25 : 92; 9/2/25 : 99; 9/28/25 : 171; 10/31/25 : 188; 12/17/25 : 228; 1/22/26 : 260; 1/30/26 : 306; 2/3/26 : 369; 4/6/26 : 380; 5/1/26 : 488

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as + Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/12/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$291.13
CDW Corporation (CDW.O)	E (01/20/2026)	\$132.19
Circuit Inc. (CRCT.O)	U (08/12/2021)	\$4.49
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$395.57
Everpure, Inc. (PN)	E (06/11/2024)	\$72.31
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$238.10
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.77
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$48.17
HP Inc. (HPQ.N)	U (11/16/2025)	\$25.24
IBM (IBM.N)	E (01/18/2023)	\$272.24
Ingram Micro (INGM.N)	E (06/11/2025)	\$29.75
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.77
Logitech International SA (LOGI.O)	U (01/20/2026)	\$110.81
NetApp Inc (NTAP.O)	U (01/20/2026)	\$161.61
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$31.66
Seagate Technology (STX.O)	O (03/26/2024)	\$931.04
SmartRent, Inc. (SMRT.N)	++	\$1.14
Sonos Inc. (SONO.O)	E (11/06/2025)	\$15.36
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$280.65
Teradata (TDC.N)	O (04/08/2025)	\$33.00
Western Digital (WDC.O)	O (04/16/2025)	\$562.93
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$49.31

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